Ep. 373: Jon Turek on the 'Owl' Fed, the US Treasury's Bond Buybacks, and AI Capex Durability

Podcast: Macro hive

AI Executive Summary

1. Core Thesis John Turek argues that the current economic landscape is defined by a structural shift driven by unprecedented AI-driven capital expenditure rather than traditional consumption, supported by a politically nuanced Federal Reserve Chair who prioritizes political optimization over rigid central bank dogma. The Fed's approach—characterized by "Owl" behavior where the Chair avoids pre-committal while managing inflation credibility—is likely to be tested at Jackson Hole. Simultaneously, the U.S. Treasury has intervened with buyback programs to stabilize long-end yields against a backdrop of capital scarcity. While U.S. yields are expected to move higher due to investment needs outpacing global savings, Europe faces distinct risks from ECB hawkishness and political instability in Germany. Finally, oil markets have stabilized into a durable "middle-ground" state due to game theory and infrastructure development, presenting a simmering inflation risk for refined products rather than a supply crisis.

2. Key Arguments & Data

3. **Federal Reserve Leadership:** Chair Walsh is viewed as an "Owl" (political optimizer) rather than a hawk or dove; he lacks strong committee authority but influences through political alignment with influential members (e.g., Schnabel, regional bank presidents). The market skepticism regarding inflation credibility remains high following the July FOMC decision.
4. **Economic Growth:** The U.S. "2025 backdrop" is uneven but driven largely by AI CapEx; nominal GDP growth is strong despite negative retail sales and low housing demand. Core PCE is expected to finish at 3%+, while energy prices and housing sentiment have stabilized after previous declines.
5. **Labor Market:** Unemployment rates are falling due to supply-side factors (nonfarm payroll growth) rather than demand-side tightening, making wage growth projections less clear than typically expected in labor market tightening cycles.

6. **Yield Curve & Capital Scarcity:** The U.S. long end is moving to multi-year highs due to a massive capital investment need (>1 trillion spent by hyperscalers) that exceeds global savings capacity. This structural gap supports higher yields and an upward-sloping yield curve across Europe, the UK, and Switzerland.
7. **AI CapEx Cycle:** A 500 billion-dollar fund backed by major Wall Street firms (including Nvidia) signals commitment to smoothing financial conditions for the sector. Total spend is projected at over $1 trillion over the next 12 months. However, a shift from 1T to 200B in CapEx would cause significant market distress.
8. **Treasury Intervention:** The Treasury announced buyback operations increasing from $2B to $4B to support long-end yields despite tight swap spreads. This action addresses level concerns and dollar index risks without necessarily being a direct policy rate change.
9. **European Markets:** The ECB maintains an asymmetric reaction function (hawkish if inflation >2%, neutral if <2%) due to high structural deficit risks in Germany (4% budget deficit) and potential tariffs on China. European yields face upward pressure despite the market pricing out cuts for September.

10. **Oil & Commodities:** Oil prices remain stable in the $75–95 range ($100/barrel is not a crisis scenario), driven by game theory between Iran and the U.S. Refined product spreads are high, posing a lingering inflation risk. The market favors "middle ground" pricing rather than crisis spikes or deep crashes.

11. Actionable Takeaways

12. **Investment Strategy:** Position for upward pressure on U.S. long-end yields and European bonds due to capital scarcity outpacing savings growth. Consider the Fed's Jackson Hole speech critical; avoid expecting definitive forward guidance before then.
13. **AI Exposure:** Treat AI CapEx as a "right tail" asset with massive upside potential but acknowledge the left-tail risk of a sudden slowdown ($1T to $200B drop). Maintain exposure but monitor the durability of financing conditions via the 500B fund.

14. **Treasury Management:** Respect the Treasury's intervention mechanism (buybacks) as a stabilizing force against yield curve dislocations caused by capital demand, but anticipate potential market volatility if RMP (Reserve Management Purchase) is restarted to offset policy interference.
15. **Global Allocation:** Expect higher yields in Europe than current models predict due to ECB hawkishness and political instability (German elections). Be cautious with short-term dollar strategies given the risk of "whack-a-mole" cycles involving FX swap facilities.
16. **Career & Information:** Leverage low-barrier access to information for skill-building; share technical ideas publicly via platforms like Twitter or Substack, as there is high demand for new macro frameworks.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, Head of Strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow Macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Guillemot Sibriyan

Bloomberg or click the link in the description below for more details on Macrite markets and its service offering. Now onto this episode's guest, John Turek. John is the founder and CEO of JST Advisors, a hedge fund advisory service that publishes a weekly research note with global macro trade ideas. JST Advisors works closely with hedge funds on developing asymmetric macro trade ideas and market themes. Outside of JST Advisors, John worked as a portfolio manager, Brevin Howard, and as an analyst at Moore Capital. Now, on to our conversation. Greetings and welcome, John. It's always great to have you on the podcast show. Great to be here. Now, before we start our conversation, I do need to timestamp our conversation, because there's lots of market events occurring at the moment. We're speaking on Thursday, the 20th of August. We recently had an announcement by the US Treasury about a buyback program, which we'll talk about as well. And by the time this podcast will have come out, we would also be in the middle of the Jackson Hole as well, which we don't know about this stage. So with those caveats out the way, let me kind of kick off, John, with just asking you about your thoughts on the wash.

Fed, you know, since he's come in, we've had this kind of odd markets. People have had an odd relationship with him. He came in as kind of a rock star. Then most recently, his last meeting, people thought, hang on, he may be not as much of a rock star as he thought he was. He's not giving the forward guidance. So what's his story and what's he trying to do at the Fed? Yeah, no, I mean, I think it's, I think he phrased it well. I mean, I think when he came in, there was sort of this, you know, the initial assumption

was that he was attached to Trump. It was sort of like this, you know, pro cyclical, you know, we were in the middle of, let's say, more like a dollar debasement narrative. You know, I think that there was no secret that the president has been an advocate of lower interest rates. It seems that Morish got the job on the promise of lower interest rates. His testimony in terms of his confirmation hearing certainly gave every indication that he was starting to look at alternate measures for inflation, very much leaning into the supply side narrative of AI or a supply side potential of AI.

So I think the market, so you kind of have to start the fairing with the initial conditions where this is going to be sort of a dovish pivot. And then we kind of had his first press conference, which was no inflation tolerance going, I think, at the time of the June meeting, September was maybe priced at eight or nine basis points of hikes. And we left the June meeting with July price of eight or nine basis points of height since September almost price of full height. So it was really a radical swing in terms of how we viewed him. And it was sort of this like inflation credibility was sort of the name of the game. And then the July hike didn't come. And he kind of, I thought, given his inability or his lack of desire to give forward guidance, it kind of gave the feeling that this sort of inflation credibility message that he tried to.

swage markets up in June is not earnest and it's not authentic. And I think that's kind of where we are now, where it's like on the one hand, we have this June FOMC worst, which was introducing inflation credibility. I mean, this July FOMC worst, she's like, well, he's all talk. He won't actually do anything because it is worth doing. He was given the option to hike rates in July. The market was very much giving him that lane. There was a lot of very smart credible people calling for that as the move. And he decided not to take it even though he had we know at minimum. that he had three people on the committee who wanted it as there was three dissents. And also, as we saw from the July minutes that just came out last night, I think the language was several participants' favorite. So I think now the kind of question is like, well, you have Warsh sort of like in line of this like Powell or Greenspan Fed where he's really the one in charge and that he's going to sort of bend the committee in his direction or something I've kind of been writing about is the idea is that maybe he's actually much more of a

Lagarde-type figure. And if you remember back to when Lagarde was introduced in her press conference, she called herself, she's not a hawk, she's not a dove, she's an owl. And I kind of been pushing this idea that maybe Warsh is more of an owl. And he doesn't really have sort of the, at least yet, doesn't really sort of have the strong enough pull over the committees. And I think he's still sort of in this feeling himself out in terms of what he wants. I don't think, when people ask me is he like, hawkish on AI or is it dovish on AI? I think he's both. I mean, I think he really does believe in sort of the productivity gains to come. And that is going to be a structural disinflationary force. I also think he's uncomfortable with the level that, you know, core PC is a 3.3%. And I very much of the idea that he doesn't want to be sort of, you know, a fed share that's looked at as like, you know, having done repeated the 21 mistake.

I think just in terms of the owl analogy, I think that's a great one, by the way. What's the consequence of that? You know, so is that that that we just have to kind of watch for all the other influential FMC members are saying all the time and we have to try to work out like how he'll manage them or like what level of movements will he have? Or does it also mean he has like the guard we know kind of has a strong relationship, you know, with various national governments as well. And you can kind of sense there's there's a a dynamic there. So is there something here with Walsh as well? Yeah. So I think that, you know, we definitely have to watch the influential. I think the idea that, you know, a person like Waller become less influential because his music or his style seems very antithetical to the way that, you know, Walsh wants to go about things I think is not true. And actually paradoxically, I think people can become more important because in the vein of the Lagarde, Lagarde handicapping her reaction function or how she would present at press conferences became at first it started with like, well, what was Lane saying? And that very much had a feed through in terms of what Lagarde say. And more recently, the person who seemingly has her ear the closest is Schnabel. And having a view of what Schnabel is going to say has been a very good forward or predicting leading indicator of how Lagarde is going to sound. So I think that it's still very early. I mean, he's only been in the job for nine, 10 weeks.

But I think the person who does speak to him, quote unquote, the person he feels his, their message resonates with him. Well, we'll kind of learn that as the press conferences come and go. I think that's gonna, those type of people will begin to have outsized influences. And I think that because the Board of Governors right now is, let's say very, You have Waller and Powell as sort of the intellectual leadership outside of that and don't really have much. I think the regional bank presidents do become increasingly important. And then you have a lot of strong voices there between Laurie Logan and Dallas, Beth Hammack and Cleveland, Neil Kashkari, Minneapolis. So I think that those, in finding a leading indicator on the committee for what mess is going to resonate with Lawrence, I think it's going to be important. And then I think kind of finishing the Lagarde comparison, Lagarde is a politician.

And I think Warsh is a politician too. Now he doesn't have sort of the experience of a laguard. He's much more like the by side. He's been in academia. He's been at the Fed. But I think he thinks in political optimization. Less so is like a, I'm Ben Bernanke and I have a ton of conviction in my model. Where I'm drew on power is like a lot more gut or Greenspan is gut. So I think that he really is solving for political optimization in a very similar way to laguard was. And the guard has been able to sort of credit to her manage very well sort of the different governments in Europe and also a very wide range of views on the ECB. And I think she has as a whole managed that quite well. So I think it's going to be a little bit more nuanced than what we're used to. I think we're used to sort of the Fed share being this big personality, strong views, coalesce the committee, sort of this very Mario Draghi figure. I don't get the sense that that's what Warsh is, maybe Warsh.

would like to be that, but at least so far, I don't get the sense that that's what he is. And in terms of the aesthetics, I mean, he does come across as a very slick politician. And I kind of almost think that like after... A little too slick. A little too slick, yeah. I mean, after Fed chair, he's going to run for president or something. It really does feel like that when I see him, you know, presenting stuff, he's got that kind of folksy kind of attitude. He's very confident in himself. Yeah, yeah. And listen, he has, you know, his credentials are very impressive. And I think the... you know, sort of the

question I think that will get pushed is sort of like, how long does the market really tolerate his style? Because it's, you know, again, it's not only is it, I think the market was like, oh, this is refreshing in June. And now it's like, wait, there's a difference between, you know, having a framework, having a reaction function and like spoon feeding us. And like, you know, there's certainly a middle ground there. And I think that going into Jackson Hole next week, you know, I think most people have written it off as sort of a he'll say nothing, task forces, et cetera. Sort of the answers he's given thus far in his press conference. But I actually think it's kind of a good outlet for him to put a little bit more meat on the bone. I think the way July went and the negative feedback he got from that both from a narrative and a market sense in terms of that we had that bear steepening after the press conference. I think that there is something around him that he does sort of need to give a little bit more of the, and just the way he's thinking about things without being in, overly pre-committal or anything like that. I don't think he's going to be a waller in the sense where he's going to be like, it's 0.3, I would hike 0.2. I'm not going to be on hold. It's not going to be anything odyssey or delphic like that. But I think in terms of thinking like, what are the things he's looking at most closely? Even if it's a range, he's not going to say, I'm looking at this subcomponent of PC. I think we'll help the market. And I think Jackson was kind of a good venue for it because he doesn't have to answer to anyone. He's speaking to a bunch of his colleagues.

you know, you can kind of have a lot more, you know, bang for his buck without sort of, you know, Nick Timoreos, Nick Timoreos asking him to follow up. So I think that it'll be interesting, but I think that from his style, I think it's going to be a little bit of a tug of war between him and the market because I don't think the market is going to, as we kind of saw in July, it's just going to tolerate this like, you know, we're going to get inflation back down. How can't tell you what's going on? Can't tell you. Yeah, it seems like there's a fate into that. And what is your core view on the economy for the rest of this year, you know, on the growth side, inflation side, labor market as well? Yeah. So I think it's a very interesting setup right now from a nominal growth perspective. I remember when I was on last year, you know, I think the key themes that we were talking about was like the tariff inflation didn't really show up. Energy prices were very low. The

unemployment rate was starting to nudge up. And the question was like, what if there could be a little bit faster?

February cuts, and we did get three towards the end of the year. But now the interesting thing is, if you look at what the 2025 backdrop was, it feels very different now. You sort of have forgetting the energy tail never really realized, but it's certainly not a 50 to 60 energy backdrop. The unemployment rate seems biased lower, not biased higher. Housing looks like it was going towards a pretty self-fulfilling negative spiral. towards the end of last year. Not that it's strong right now, but it seems to have stabilized, even though sentiment's pretty poor. You know, an inflation was, you know, I think the Fed had in their December dots had 26 core PC finishing the year 2.2%. And it seems like it's going to be another year at three or plus. So I think we're in a different backdrop. I think the growth, the growth picture, it feels to me uneven.

But I think that on aggregate, it's still an economy that's producing a lot of nominal growth. And I kind of look at, we're going to get the GDP number a week ago. We see that it's still an uneven economy. Consumption has these bits. Some months are stronger than others. We saw July retail sales. But at a core level, PDFP printed, I think it was close to 4% in the second quarter, which I think was spoken a lot louder than 1% GDP. negative retail sales. So I think that it's become a little bit more narrow because so much of it is from AI CapEx. We're used to thinking about the US economy and more of a consumption type lens. But I think my general disposition towards US growth, until something makes it clearer that AI CapEx is going to slow. And I think that from the levels it's at now, slowing would be very problematic because I don't see how it would be a linear slowdown.

I find it hard to be really too worried about the left tail in the US. I mean, I'm sure there's those financial conditions elements that's always said there's something exogenous. But from an endogenous perspective, I think that the unemployment rate is low. Consumption is mostly a trend. Housing is weak, but it's not getting from an impulse perspective. It's not getting much weaker, it seems. And we keep re-rating, go forward, AI capex. I mean, one thing I had a question around was, with the unemployment rate falling, why is wage growth not stronger? And the reason I ask is I'm almost kind of

thinking, is this like a Japan scenario where policymakers are in reality really trying to target wage growth rather than inflation? So it's a good question. I think it's probably a little too soon to sort of lean.

that the unemployment rate falling is not going to equal wage growth. I mean, we've only really seen it falling over the last couple of months. And it is true that I think average hourly earnings in the last NFP report came down from 3.5% to 3.2%, aggregate weekly payrolls, which I kind of like is sort of this. broad indicator of where nominal growth is going actually has been slowing over the last couple of months. You know, for the balance of the year, it's been quite strong. I think it's a little too soon. I think that what's clear is that the unemployment rate of the last couple of months has been falling more from a supply side than the demand side, right? Because we kind of had this weird where for the first half of the year, the unemployment rate was very stuck at around 4.3, 4.4. We had a pretty material acceleration in non-far payroll growth. In the last few months, we've finally seen unemployment rates start to come down.

just as NFP over the last couple of months has been negative. So it's been sort of like a hard one to match. I would just say that the way I'm, I wouldn't have a lot of confidence yet that, because this is a different labor market tightening, it's seemingly completely coming from the supply side as of now. I wouldn't take a lot of confidence yet that the need to go forward wage growth is not going to be there. I think that's something that's a little noticeable to me, is that we were trending lower in ECI in the Fed's preferred wage tracker. And Q2 was a point not. So I do hear your point is that we have seen average hourly earnings come down. But I would still be nervous of the, well, because I think we're still very new into this, how long it goes, where it goes, we don't know. But it does seem to be more supply side than demand side. Again, taking the unemployment rate.

unemployment rate down 30 basis points over the last few months. I think what the externalities and second derivatives are that are a little less clear than, OK, we jammed 150,000 jobs, we took the unemployment rate down, and because we keep pulling higher and we're raising wages, because that's a much cleaner mechanism. And on the AI side, you mentioned you hinted that you're optimistic on the AI CapEx story. Was that right? Or was I

reading too much into the subtext? I am optimistic. I would define my optimism. My technology and information or ability to predict the analogy is much weaker than yours. But to me, the way I've kind of looked at it from sort of a fanatic perspective is I think you have to treat this as the tails in both parts of the distribution have gone up. And I think the way that I've kind of thought about it is, you know, you've introduced this incredible amount of not only spend, but now we're going to have financing into the economy.

As we've seen, it's very asymmetric in terms of earnings growth because just from an accounting perspective, it's immediately booked as profit and revenue for someone. So it's a very, very powerful force. My only thing is that differentiation, I wouldn't call it, but as someone who's not a technologist and following which is going to be the next bottleneck and is from the information that we have, it seems that Well, empirically, we just keep rewriting AI catapacts higher. That is something that's happening. And seeing the economics do justify that. And I would say from a second, what's kind of driving this from a hyperscale of perspectives, which I think is very interesting, is that it's not as much to me. It doesn't feel as much of like a right tail function as a left tail function. And there, actually, so much of this spend is coming from oil. If we don't do it, we could be like adipists. And I think for macro people, who were just looking, it was like, well, there's starting to be some credit marketing digestions. Does that mean they slow things down? My answer to that is no, because to them, why would 50 basis points in Google's 10-year or 30-year bond is not changing the calculus for them? The calculus to them is that if they don't do this, the business could be gone. And if they do do this, it could be a 10x on return. So you really raise the bar for this stuff to not get done. In a way that I don't think is like as, we kind of think about these things, especially as macro people in like overly linear terms. And I got a few from clients talking, you're like pitching sort of the Metacom from 2022. When they were like overly invested in VR, they bled for the cash flow negative, the stock went down, I don't know, 60, 70%. And eventually there was a stopout from Zuckerberg and the year of efficiency came in.

And I would say the difference between then and now, let's say just using that micro example, obviously the macro context is wildly different. Meta

didn't view, at least from what I understand, Meta didn't view VR as if VR didn't work, Meta's out of business. And I think that similar in the sense that they viewed this as sort of this huge right tail they were gonna try and get. But I don't think they viewed it as if we all, if we stop it, are we going to fall completely behind everyone else? It doesn't seem that that was sort of, so that backdrop really matters. And I'm sure we'll get into a lot of the treasury and temporary dynamics. But you do have now these two actors in the economy who are commanding a massive amount of capital. We're both basically acting from A. We have to do this perspective. We don't have a choice. And that's governments and they are. And so I think it's very hard.

to assume at least now that 27 is going to be lower than 26. And this is sort of the beginning of the end of this, because they're not telling you that. And we got the Q2 earnings now from the hyperscalers. I think Metta was the only one who didn't really give a guide for 27. But most of them were like, yeah, 27 is going to be significantly higher than 26. I think over the next 12 months, it seems reasonable there's going to be over a trillion dollars spent between the hyperscalers. I mean, these are fiscal programs. Germany announced a trillion dollar fiscal program in March of last year. It was a really big deal for markets. So I'm treating it like that. And I think at the same time, what's going to be, I think, very challenging, potentially very interesting, is there will be a time where either something in the economics change or something in the market's ability to finance this change is maybe we started to get hints of over the last few weeks.

that constrains their ability to actually do this. And then as the economy has become so dependent on this spend, as we kind of noted with the GDP equation, it's become a very outsized influence in terms of growth in the US. Assuming that once the second derivative does kick in and the market starts price slowing, you don't usually slow from a trillion dollars to spend to 800 billion. It usually goes from a trillion to 200. It's very significant once you decide to change direction. and change course. And I think that only gets amplified as these numbers have gotten bigger, which is why I kind of like think it is important to a little bit have the framework is like, yes, the right tail has gotten bigger on the spend. It's gotten bigger on the potential of sort of what this technology is. But, you know, capex busts are

painful. And this is turning out to be the biggest capex cycle that we've seen. So I think you have to be acknowledged that the left tail is also gone.

Yeah, I hear you there. And I guess we have to come around to the long end of the US curve now. So if it gets 30, it's moving to multi-year highs. I think the highs in almost 10 years or so, and the 10 years moving up as well. I mean, first of all, why are yields going up so much? Yeah, I think there's a few reasons. We've obviously changed, I would say, sort of post-war versus pre-war in terms of the market wants to price upward sloping curves everywhere. Not been a US thing, not been a Japan thing. Europe, UK, even Switzerland, everywhere has upward sloping curves. And I think that's a function of the volatility around inflation has gone up and it's asymmetrically higher from central bank targets, right? No one's really assuming that, okay, inflation will go back to two and then it's both sides of the distribution aren't even from there. So I think as a function of that with a lot more markets around neutral policy rates, it makes sense to have upward sloping curves. And upward sloping curves, you kind of have to have a mechanistic change in terms of what?

That means for long ends. So there is that. I think that there was certainly some fear around how credible is the Fed to its 2% target. There's political noise. There's understanding a new Fed share. You're about to have your third year in a row after the Fed said inflation would be back at two in a relatively short time after 22. You're about to have your third year in a row of 3% for PC. It is fair to ask what is actually the inflation target. So I think all those things. are relevant. I don't want to dismiss any of that. To me, the big thing, though, is that from the 2010s, there was a lot of savings and not so much investment. Governments weren't fiscally expanding. A lot of them were actually contracting, most notably in Europe. And a lot of financial markets were geared towards return to shareholders. How do you drive free cash flow higher? How do you buy back more stock? It was much more orientated towards savings. And that was reflected in pretty low nominal growth readings.

Now, what we have is a little bit of the ops where we have fiscal expanding everywhere still, which is pretty amazing to say six years, five years after COVID. And now we have introduced a massive private sector cap cycle,

which we really haven't seen. I mean, we had, I would say, in relative terms, we had a mini one with shale in the early 2010s. But we had one in commensurate size, I would say, in terms of housing in the US in the 2000s. at the beginning of this, where I think why the long end wasn't as perturbed until more recently, I would say, is that this was coming, this spend was coming from operating cash flows of these companies. So Google was making money and then using the money they made to sort of invest in this this capex. And what's begun to happen is that the free cash flow is now gone.

because they're spending so much. And that means they have to come to market to get the money. Now, not only do they have to come to market to get the money, but actually they're coming to market to get the money as the amount of money they plan to spend is going up and up and up, right? So if you actually look like this is something I was saying to one of my clients is maybe disagreeing with why I thought this was so significant is that in 2024. or 2025, the cat-backed fill was 200 billion. That was 400 billion around those numbers. And that's when they were pulling free cash flow. And that's when they took free cash flow to zero. Now, we're going to do this year, it seems, that's going to be 7,800 next year over 1 trillion. And most of that has to now be funds. So I think what you really have, from a big picture perspective, from a global duration perspective, is you have the IS curve has just moved dramatically. And you have a ton of investment need.

which is fundamentally a call in capital. And the amount of savings to meet that need is not moving in a commensurate way. And how could it because you have a time now where the kind of using the Richard Q balance sheet economics like you the private sector and the public sector are both the same. So really the only one sort of to that you could say quote unquote is savings is East Asian households. It's not American households anymore. The savings rate has gone down and you could say you're up to some degree. But that savings is also being called by European fiscal. And we got from Germany last year. It doesn't seem like that's going anywhere given the balance of risk, especially from a national security perspective and also a trade perspective continue to grow. So I think what the market really at a fundamental level is not only undoing the 2010s that it's playing out a little

bit in reverse, where you have a massive need for capital and it's happening at a rate that's faster than global savings are growing. And that's putting pressure.

on fundamentals that weren't great to begin with in global longeds. It is notable to me that, and the incremental perspective is that budget deficits globally are still not some of that best they're staying. And at worst, they're going materially wider. Yeah, I think now it seems that- So what do you make of the announcement by the Treasury recently to do buybacks at the long end? I think it's a big deal. And I know that the numbers are not big. I know it's taking buyback operations from 2 billion to 4 billion, even though assuming that there has to go forward implications that now we kind of reset and sort of if you analyze those numbers, they're actually not nothing. But at surface level, it's not a big deal. I think the context in which it happened was just so notable. Because as we were talking about before the show, it really happened when there was no treasury dislocation at all going on. Swap spreads on the month were tight.

not massively, but they weren't widening. There was no off the run, on the run issues in terms of like treasury basis. And it was really just that the treasury seemingly decided that they didn't really like the number on the screen in terms of the level. And I would also argue it's not back and falls like untethered, but certainly starting to pick up and like it makes sense sort of pro cyclically for that to expand as we kind of like breach new levels in back and real yields. There's nothing really going on. to say that this was, you really need to smooth market function. It was really just, I don't like the level and I don't like the level kind of has a pretty big connotation to it. One, you really invite the market to fight as we kind of see the dollar again. And then from a second perspective is like, well, what's the second derivative of all this? And I think it was really interesting to see yesterday. I don't have a super strong view on the dollar as of now, but it was really, dollar Swiss goes down one and a quarter percent, euro dollars almost up.

1% gold's up almost four, those are big moves. And I think that the bigger questions now that start to get asked is, are you just kind of moving one market in balance from one asset class to another? Which is sort of like what the Japanese have been doing, and it go back and forth basis between

like long end and dollar yen, long end dollar yen, front end dollar yen, like it's you kind of just doing a whack-a-mole because you don't want to deal with the underlying problem. You mentioned the yen there. Obviously, the US did joint intervention with the Japanese recently. Now we have the spy back. And then on top of that, there's been the FX swap facility that has been widened. Can we join all the dots there in terms of from the US side? I think you can. Yeah. I'd also say you could argue this really started in January of this year when Besant rate checked through the New York Fed dollar yet.

And the context for that happening was similar to where we are now, in the sense that I would say it was a little bit more specific when JGB. But the view then was Balor Yen going up, was putting pressure on long-end yields in the US, and Bessette wanted to cut that off. Which I think made a lot of sense actually, locally, because it did seem at the time that that move was very sort of Balor Yen driven. It also felt like it was in the context of a political handoff within like Takahashi just won the LDP race. So it was basically, can you buy time for Takayichi and Katayama to sort of formulate a plan of what they're going to do, how that fits in with what the BOJ is going to do? I thought that actually made a decent amount of sense. I think this time it's a little trickier, because sure, dollar yen has been like, we broke 163 dollar yen was at the highs, but it didn't feel like this was a JGB driven global sell-off. So now it's starting to feel like really the solve is just like The dissolve is 30 year treasuries and every action is sort of like a derivative of that. And what can plug that in the moment. So yeah, I do think I think it makes sense to connect the dots. I think it's expanded, I would say in risk, it's expanded in terms of policy risk. But I think that it is all connected. And I think the solve, quote unquote, the solve is for long-end yields. And in terms of the outlook then for the curve, I mean, does one just go with this then and put steepness on or just go outright short duration? Because it feels like, OK, this is potentially a regime change. So you want to lean into it. But then on the other side, are we over-reading something in the short term? And then it just goes sideways again. Yeah, I think it's a tricky one. I'm left with a few great takeaways that kind of feel most notable to me. I would say, one, is that even vibe pressure now from the market to test this thing?

I think now, the same way that the Japanese did with 160, you end up making the market a little bit more of a floor than a ceiling. And you did it in the context of, again, pretty benign macro conditions, right? Yes, the level of yield was going up and it was going up in a non-trivial way. But the market was comfortably saying in the balance of the FCI is pretty easy on balance that the cost of capital should rise. And I don't think that that's sort of this, you know. it's happening for fundamental reasons. And then it's not happening yet in sort of a massively destabilizing way. So you have invited, I think, more risk around, now the market has to push, I think. I think you want to be respectful that as we have seen with Dollar Yen, when these guys want to do something, there's a lot of firepower to do so, even in the US, where it does seem like the mechanism that they can kind of try to do.

here is it's basically a form of operation twist, right? Where it's, you basically have to sell the front end to buy the back end. So I think you need to be respectful of that. I think that the way I kind of thought about it, I was like, I don't think this changes the structural trend by any means. But you now would know that one of the main actors in the game is going to fight. So I think that has to change something. I think the other impact here that seems very notable to me is, you know, I think we got to a point over the last That's a few weeks, really, where it seemed like the biggest risk from an economic perspective was that the cost of capital will sort of cut off the AI CapEx story, which would then lead to a negative economic outcome. And if you're starting to get this idea that there's going to be a lot of the most meaningful actors in the economy are going to try to limit how much damage the cost of capital side can do to the AI CapEx side, which we have seen now.

I think what was also notable is you had a week or two ago, you had Nvidia announced that they have this 500 billion fund backed by every major Wall Street firm, which is basically how do we smooth financial conditions for the most capital intensives within the supply chain. And then you kind of come and you follow that on with Besson effectively intervening. So if the main actors are trying to make this, knowing that there is sort of this financing element, but they're sort of going to try to push back on it. does that make to spend at least over the near term a lot more durable? And if that makes to spend a lot more durable over the near term, the growthy parts

of fixed income, which I would argue is sort of like the reds and sofa and five-year notes and treasures. You really have to factor into the chant. The left tail for rates cutting this thing off has actually gone down, which means that we maybe we could, I don't know what necessarily it means for the September FMC, we can sort of have that conversation as well. But I do think that's possible now that you could actually price terminal rates higher in the US because the chances of something you know, cutting off this positive growth impulse has actually gone down. So I think there's a lot of really like potential interesting ramifications. And I think that the market, the likely outcome is that the market sort of does this, this whack-a-mole between it all. I mean, is it a clearer expression through the dollar then, just a wheat dollar from here onwards? But as you say, I mean, if the Fed ends up hiking because the term rates up, I mean, it's less clear and we end up going in circles. Maybe you answered your own question. I think that as an impulse, I think the dollar was 100% right to do what I did yesterday.

because if you really gain theory of this out, and this is something I was actually thinking about in my walk towards this morning, if you really play this out and Besson does this again and again and again, let's just say where you kind of like upsize these buybacks and you sell bills to do it, you eventually have to run into a risk that especially as now the Fed is not doing. many reserve management purchases, which something they started last year, which was kind of smoothing bill issuance into funding rates, which was dragging like Fed funds rates higher than where they want them to be. If you really play this out, that pressure should return. If you're going to have to even do more bill issuance to fund buying back the lung into the curve. And then if the Fed was to say, well, that's interfering with our policy rate, we have to restart reserve management purchases. I don't know if that's technically QE, but that sounds like QE to me.

So I think from the dollar's perspective, that's the distribution that not only, you know, you could really envision this world. Now we're, you know, core piece, this last two CPI brands, NFP brand kind of gives the Fed rope not to hike. And then you could kind of play out this potential of that RMPs are basically funding, you know, best at intervening in the long end. And that seems like a terrible outcome for the dollar. So I think the modal path is not clear because it's possibly just meant to cycle a bit more durable, which

actually means that maybe the Fed could actually have a mini-tiking cycle here. I think the chances of that actually did go up. But I think now, I don't know, I would be still comfortable buying the dollar on that because I think this is only going on in the background. So I think from a bigger picture disposition sense, I think the dollar now has, its left tail is much bigger than its right tail. But as you say, it's not.

So it's clear if the Fed hikes all set this because then it really is sort of this whackable. And we talked about the US and Japan. Is there anything to say about Europe at all in terms of Europe, the macro markets there? Yeah, I think there's a lot to say. Honestly, I think a little bit different to what's going on in the US and Japan, where it's definitely not as activists in terms of their respective Treasury departments. But I think that within Europe right now, you sort of have this new debt. Growth is quite meager. He's dealing with these supply shocks. And ECB's inflation forecasts are too high. And, okay, they'll probably do another hike, but then they won't do another. They won't do one after that. And maybe we should be, you know, putting on the back end of that or something, something of that. And if you look at the market, like the market's had no desire to price. Well, just because after September it's unlikely the ECB hikes, the market prices a full hike into the next year. And, you know, I think that you know, what's kind of been missed I think in the Europe narrative is the ECB has communicated a very asymmetric reaction function that slightly below two doesn't really mean much and slightly above two is still going to get dealt with. I think that has sort of been the, I think we kind of got that post their strategy review in 2025 and it's why they didn't really cut when inflation was printing 1.8 annualized. And now obviously in the situation there and now where inflation risks are to the upside, inflation's realizing above target, they're acting. But I think that's kind of set a floor for where European yields can be, is you have this asymmetric central bank reaction function that's hawkish. And I think you have this very interesting structural dynamics within that going on in the background, where Germany now has a 4% budget deficit. It doesn't seem to be getting smaller as growth continues to not really show up. It's actually mechanically going to get bigger.

You have a French election coming up next year. I thought it was very interesting just looking at some of these local elections that are coming up in Germany of where AFD is polling. In this one poll, I saw they're pulling 42% there in the leak. And also in the background, I think that's what's been a turn over the summer in terms of Germany's approach to China. And it was a very hands-off approach for much of the last two years as China is completely eating their lunch from a trade perspective. And something seemingly changed. And we kind of got that crystallization at this French-German summit at the end of June or beginning of July. And it seems that after the summer break that there's going to be actual action in terms of either German tariffs or broad European tariffs on China, which if you're looking at Europe right now, the big disinflationary impulse is coming from Chinese goods. And that might be about to change. So I think there's a lot of things going on. I think that for me, I think what's setting the stage is that you have this asymmetric reaction function from ECV that's hawkish. And then you have on top of that these structural dynamics that are going on, both from a national security perspective and a trade perspective and a political perspective that are really interesting. So it sounds like your bias then is to look for short-term yields to go up more than people are expecting.

like the ECBs will end up being more hawkish than people think. Is that fair characterization or mostly fair? I would say I'm more looking in the belly belly and long end in Europe. I think the ECB I think will be a tactical question of when that you know, after September, I think there's a bigger question in terms of are you hiking to a new policy stance, i.e. are you moving from neutral to restrictive, which I think so far the question has really been why I feel like these hikes have been low stakes for them as they feel they're hiking with a neutral. So I think you're going to have to ask a bigger question. I can do 275 or three, but I do think that all of this, if you kind of take this holistically from the baseline of the markets, not going to be able to price cuts, I think it's still decent amount of pressure on European yields and upward pressure. So I think the direction of travel and things like blends is still higher in yield, even from, you know, 325 where we are today. Yeah. And then the final kind of macro question I had for you was really the whole oil story.

you know, the on-off war, straightforward moves and stuff. And it's kind of a weird one, you know, oil's kind of grinding higher. And when you speak to oil specialists or commodity specialists, they keep saying, like, this is real, this is something really bad. But then macro markets don't seem to care. And many people got burnt in the first phase of the war. So how are you looking at that, the whole straightforward moves, energy prices, crack spreads, that whole complex? Yeah. As someone who is, I feel like as a macro person, sometimes when there's other markets that are driving, you kind of have to become like a taker of information. And it's been a hard one to read because you have all these fundamental guys who are like, well, this is the most blatant supply and demand imbalance of all time. And then I turn on the screen and I'm like, well, it's 78.

everyone in the world who trades oil is missing something, it's hard to square. The way I've kind of looked at it, and my approach has been, I think it's very hard to have a strong view in terms of is this right tail right? I think that you have enough now to say that commodity markets are especially oil is just much more fungible is the right word, but like. they're much more elastic than we assume based off what this bottleneck was. I mean, we saw how China was able to shut off imports. We saw that they were able to somehow even sell or find product in the heat of this thing. We saw how a lot of trade has been rerouted through the US and the US seeming to become a big beneficiary from an export perspective from all of this. So I think it really does show that as bad as this bottleneck clearly was that I think the elasticity of these markets it's just greater than people assume. So I think you don't want to, I don't think that the message is bad is to fade it. But at the same time, I think that because I don't trade oil, but as a sort of like a taker of this input, I think that I'm more convinced in the floor than the ceiling at the moment. Because I think you have two things that are going along. You have one that the actual product side is quite tight and something that your analyst for issues like just so on top of this stuff that has been like, you know, been highlighting is that like, yeah, cracks are still at the Hots. And like that is the stuff that actually feeds into inflation. So that is, you know, one part, which I think from like an inflationary impulse, like it's still an asymmetrical one. And then I think the second thing from just kind of like the war, I was like, no, like, I'm not a geopolitical strategist or anything of the sort. But it does seem that this is sort of like a durable

paradigm where we are like the suckness of this kind of feels right, like Iran and the US, from a low oil price, Iran loses leverage. The US gains operational ability. And from an overly high oil price, Iran doesn't really want to get bombed and the US doesn't want an energy crisis. So this sort of in between, the game theory of the in between makes a lot of sense and it doesn't seem like they're close to any actual deal. They can't even figure out a.

straight deal. I don't know, doesn't seem like going to work on a nuclear deal. And it does seem that they're both buying time, right? The Iranians kind of view this as sort of like how do we hand off our deterrent from the straight to something either like nuclear or something more military that's durable. And for the US, it's the straight as a leverage point in all this as a huge amount of negative care. Because every day, the Emiratis, the Qataris, the Saudis are building pipelines around it. And You and I have both been to that part of the world. They moved quickly once they decided to do it. So we could be looking in the middle of next year even that there's pipelines online that totally circumvent the street. And so I think that they both sort of feel that time is their friend in a weird way. So my kind of view is that this is sort of durable. It's weird because the war is not over, but it also feels like the bar to return to a high level of military conflict.

or from a kinetic perspective, it feels quite high. And it just seems like there's enough oil going through the system that keeps falling, right? This is in the 75 to 90, 95 range. And that's broadly tolerable. And I think the irony of all this is that it actually more durably raises inflation risk because you're letting it linger longer instead of having this big spike that cuts off growth and then actually disinflationary on the flip side. I would say sort of like the worst case where you kind of like sustain a higher level of refined products. And that sort of will, you know, central banks so far have seemingly, you know, been positively surprised that there's been no second round effects. The BLE sort of been like the most notable of celebrating this fact, but, you know, it's only really been six months. And we know from a lot of these economies that, you know, demand is a lot more uneven. You consumer sector is it automatically like that in December, January, if there's no change, it's sort of the underlying backdrop I add. I don't know. So the way I've kind of approached it is not necessarily that we're sort of returning to a

obvious choke point, well, it goes to 130. But it does feel to me that even though the fundamentals in the oil market structurally do seem oversplied, locally speaking, it does seem like both parties are incentivized.

to act below 70 in their own ways, which to me kind of will keep the market above there. And it's just that doesn't take that doesn't really take off the pressure and refined products. And it kind of keeps this like, you know, simmer in terms of where, you know, energy prices are cyclically more of an upward pressure on inflation than a downward pressure on which they were last year. Yeah, and now let me just round off with a couple of kind of non-market question. One is, you know, I interact a lot with that. We do have so many young listeners as well, you know, who've recently graduated or will soon graduate. They're going to enter the job market. And most of them are really pessimistic, you know, and we've been taking on a huge amount of interns to try to help people, you know, just get their foot on the ladder and so on. I mean, what advice would you give to youngsters, you know, who are entering the job market today?

Yeah, I think it's definitely an interesting time. I don't envy it from a timing perspective. I'm very sympathetic. But I think it's also, you know, the flip side is that, you know, you're entering, I think, especially if you're very passionate about something. And I think that kind of will be like my, my underlying takeaway. If you're very passionate about something, the ability now to, you know, grow that from a technical perspective and then share that in terms of a, you know, either between like social media, substand, whatever. It's just the friction has never been lower. And I kind of like go back to where it feels a lot longer than 10 years, but I go kind of go back to 10 years ago when I was kind of coming out and trying to get a job at a hedge fund. And to get sort of up to speed from a technical perspective as someone who didn't come from a particularly good school or didn't sort of have this I didn't have access to the resources that I'm very fortunate to have now. It was very hard to really get up to speed, especially macro, because sofa strips and things like that, I go on the CMU website, it'd be prices from a day ago. And so I think that what I could have done with a chat GPT or a Claude, and then combine that with the low barrier to being able to share thoughts and information.

I think it should be viewed very positively and then should be taken advantage of. It's like you, you kind of get to interact with people over Twitter. And I also am hanging on an intern in the fall. And so I put on Twitter that I'm looking for an intern. And the people who came in, I was kind of blown away. And I think that it's a really interesting time for you could really ramp up your technical skills outside of the classroom. And that to me is like, just differs a lot from sort of where it was, you know, when I was coming out. So that to me is like exciting. And I think that, you know, I always kind of the advice I kind of always give, you know, to people just, you know, business was, you know, my start is just right and share it and keep sharing it. Like the nice thing about our business, there's a lot of faults in it. But the nice thing about it is it like, it really is to some degree an idea meritocracy and people are no matter how big of a PM they are at Citadel or you know, how or wherever they are as a strategist or whoever, everyone's desperate for information and everyone's desperate for a new way of thinking about things. And, you know, my experience was, you know, I shared a blog with someone who worked at more and it was like, why don't you come here for a summer? Like, and I don't think that that's, you know, one of one story in our industry. I think it's happened actually a lot and I think it will continue to happen. So I really think that it's never been easier to sort of ramp up if you're really passionate about something in terms of your technical side. And then The leap I think is share your thoughts and you'll be surprised who's interested in them. Yes, that's great advice there. And then final question, you mentioned Subtack there. What's the best way people to follow your work and to just interact with you? Yeah, sure. So have a website, JSTAdvisors, and I'm on Twitter, JTurk18. And if you want to be in touch about sort of my advisory business, what I'm working on, trade ideas, et cetera. Best email is info at jstadvisors.com. Great. And I'll include all of that on the show notes as well. So with that, John, thanks a lot. That's a great, fantastic world tour of financial markets. It's a lot going on and you've really given a very clear sort of framework for us all to think about that. So thanks a lot for all of that. Thank you, Bill. I appreciate it.

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